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RAMANA NANDA

WILLIAM R. KERR

CARIN-ISABEL KNOOP

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# INNOVA-MEX's Bid for ENKONTROL

It was the morning of January 29, 2010 and Mexicana airline's flight 7804 from Mexico City had just landed in Monterrey, Mexico. As Harvard Business School (HBS) classmates (MBA '09) Eduardo Clavé de Robina and Gustavo Fernández de Loyola gathered their belongings in preparation to disembark, they knew that regardless of the outcome, it would be a memorable day.

In the second year of their MBA program, Clavé and Fernández de Loyola had joined forces to start a search fund based in Mexico City, operating under the name INNOVA-MEX Capital LLC (INNOVA). They had raised money to acquire an existing private company in Mexico with an initial enterprise value between $5 and $15 million. Just seven months after raising the fund, they were about to close a deal on a target company. The seller, however, wanted to renegotiate the price. Clavé and Fernández de Loyola had sent him a counter-offer a week before and had now travelled to Monterrey to discuss their proposal in person. Would he accept their offer? Would they (and should they) be willing to compromise anymore? The two knew that they would be putting their deal-making skills to the test.

## Converging on an Idea

The idea to start a search fund in Mexico had emerged over two years before, when Fernández de Loyola and Clavé attended a conference on the topic in their first semester at HBS. Fernández de Loyola recalled:

> From the beginning of my time at HBS, I knew I wanted to go back to Mexico after graduation. I had extensive operational experience in the healthcare industry, first as the manager for the construction of one of the largest for-profit hospitals in Mexico and then as general manager of the medical complex. I had thought I would start a company back in Mexico when I graduated. But the search fund conference alerted me to the idea that I could buy a company instead of starting one myself. Since I didn't have any savings to invest in a startup, the search fund model seemed particularly interesting to me. I wondered if the model would work in Mexico.

The "search fund" concept was invented in 1984 by a Stanford Graduate School of Business (GSB) professor, Irv Grousbeck. Grousbeck thought the search fund model would encourage entrepreneurship among young MBAs lacking operational experience who might otherwise have pursued more traditional careers such as investment banking or consulting. Grousbeck knew that

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Professors Ramana Nanda and William R. Kerr and Global Research Group Executive Director Carin-Isabel Knoop prepared this case. Some names and numbers have been disguised. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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investors would not be eager to hand over large sums of money to MBA graduates with little experience. That was why search funds were designed to target "unbreakable" businesses, that is, established businesses with stable cash flows. This minimized the risk of failure due to the inexperience of the entrepreneur. The matchmaking of risky but promising talent with proven business models created an opportunity, Grousbeck had noted. In contrast, the venture capital (VC) model sought to match proven talent with risky but promising business models. Over 100 search funds had been raised since 1984, mostly by recent graduates of HBS and the Stanford GSB and mostly in the U.S. (see **Appendix A**).

Fernández de Loyola knew that he would need a partner to raise the fund and run a business. He approached his classmate and compatriot Eduardo Clavé, who was also intrigued by the model and the possibility of buying and running a company in Mexico. The men found their backgrounds complementary. Clavé had worked at UBS in investment banking in his hometown of Mexico City and in New York City. His financial skills were a good match for his potential partner's more operational background (see **Appendix B** for their resumes). As the two began to research the concept in more detail, they also heard about two Mexican MBAs at HBS a year ahead of them, and two Mexican MBAs in Stanford, all of whom were also planning on raising a search fund for Mexico. Clearly, the idea was in the air.

Fernández de Loyola decided to spend the summer between his two years at HBS on the ground in Mexico, researching the concept further. He first spoke to three or four banks about the possibility of raising bank debt to finance the acquisition of a business with $1 to $2 million of EBITDA. "They told me that we would not be able to find financing for this size of M&A; it was too small. They referred me to a branch to seek a commercial loan. When I approached the LBO (leveraged buy-out) department they sent me to the department in charge of loans to small and medium enterprises." It became clear to Fernández de Loyola that he would not be able to rely on raising bank debt to finance an acquisition. He also realized that he would need to take the lack of formal bank credit into account when thinking about the economics of doing a search fund deal in Mexico.

Fernández de Loyola also sensed that it might be harder to find appropriate targets in Mexico than it was in the U.S. Fellow Mexican search funder Mario Sicilia Benard explained why: "people are socially very linked to their business and they tend to stay linked to them for a very long time, usually until the next generation comes. And more fundamentally, people are not used to selling a business. There is still a bit of that mentality: 'if I sell to you and you do well, people will think that I am stupid. So why would I sell?'"

Despite the potential challenges on both the financing and deal making sides, Fernández de Loyola and Clavé agreed to start a search fund together. They were attracted by the option to have a $100,000 salary like other search funders to help pay back school debts. Fernández recalled: "we had a long, long conversation in early September about lifestyle. I wanted to make sure that his wife would be ok with this." Fernández was single at the time and flexible about geography. Clavé and his wife had weighed the options of a set position in a known location versus greater freedom and greater uncertainty of a career as a search funder, and decided they would give it a shot.

## Raising the Fund

Having decided to go ahead with raising the fund, Fernández de Loyola and Clavé spent so-called "hell week" (the first week back after winter recess when MBA's concentrated on recruiting activities and recruiters mobbed the campus) preparing the preliminary private placement memorandum (PPM) for investors. INNOVA hoped to raise $525,000 through the sale of 15 investment units priced



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at $35,000 each, enough to sustain a 24-month search process (the budget included their annual salary of $100,000 each plus expenses related to searching and doing due diligence on targets).

As with the typical search fund model, investors in the fund had the right but not the obligation to participate in financing the acquisition the principals were looking to make. Depending on the size and structure of the deal, investors were also expected to have the opportunity to invest an additional $300,000 to $1 million per unit at the time of the acquisition (potentially more than typical given the lack of bank finance). This investment would be structured as a combination of equity and subordinated debt on terms *pari passu* with the investor capital provided in the acquisition round of financing. In the event of any liquidity event or winding up of the acquisition target, the investors would be entitled to receive in preference to the principals an amount equal to 100% of their original investment, to the extent not previously returned. Moreover, all investors would get returns in dollars (see **Exhibit 1** for a peso to dollar exchange rate chart). Since the targets were most likely to be purely domestic (Mexican) businesses, this meant that the principals—Clavé and Fernández de Loyola—bore all the exchange rate risk.

Following in the footsteps of two HBS MBA's—Augusto Alvarez and José Luis Orozco, who raised a search fund in 2008—the team also started having informal chats with U.S. search fund investors. Search fund investors tended to be individuals rather than institutions. They were sometimes friends or relatives of the entrepreneurs, but more often they were former business owners or investing professionals who had become experienced with the search fund model. The co-founders struggled with what balance to strike between American and Mexican investors and whom to see first. In the U.S., 25 to 40 investors invested in search funds (some in 10 search funds a year) and referred opportunities to each other. "Some had contacts in Mexico and could be very enriching advisers. Most importantly, though, they can be very tough and their candor is very valuable," Alvarez had advised. "If you have only Mexican investors, it is very different. They tend to go with what you think is appropriate. They will usually not double check or push you to think deeper."

However, Mexican investors could locate good lawyers, accountants and tax advisers, and provide advice on how to steer a small-medium enterprise (SME) in Mexico. "Managing 150 to 200 people is a challenge, and you don't know it until you've done it," Mexican investor Jaime Zunzunegui noted. "Mexican investors can provide input and support locally." Mexican investors also understood that aggregate data on industries was very scarce and there were few benchmarks available when valuing targets. "You have to have a conversation with U.S. investors about this and some of them will find this complicated, while Mexicans understand this much more naturally," Alvarez noted.

The INNOVA founders knew that for each set of investors, they would be dealing with very asymmetrical preferences and concerns. When pitching U.S. investors, the INNOVA co-founders had to allay concerns about corruption, the stability of the peso, and Mexico's macroeconomic and legal systems. Over 44% of the population lived in poverty.[a] Part of Mexico, especially in the north, reeled from drug trafficking-related violence, which threatened to destabilize the Mexican economy.[b] "A lot of U.S. investors said 'I don't want to invest in Mexico'," Fernández recalled. Other U.S. investors wanted to diversify and saw opportunities in Mexico. INNOVA provided an alternative investment

[a] Background Note: Mexico, U.S. Department of State, December 14, 2010, http://www.state.gov/r/pa/ei/bgn/35749.htm, accessed July 2011.

[b] David A. Robillard, Duncan Wood, "Public insecurity and the private sector in Mexico," *Canadian Foundation for the Americas (Focal),* February 2011, http://www.focal.ca/publications/focalpoint/387-february-2011-david-a-robillard-and-duncan-wood, accessed July 2011.



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method for investors wanting exposure to the Mexican market but wishing to do so with a proven method. Mexico was a country of 112 million people occupying three times the land size of Texas. In 2008, Mexico had achieved investment-grade status, and passed legislation allowing VC funds to be publicly listed. By 2010, eight VC funds were registered or becoming registered with the Comisión Nacional Bancaria y de Valores (CNBV), the Mexican equivalent of the U.S. Securities and Exchange Commission.[c] Investment in private equity was on the rise, as were mergers & acquisitions rates (see **Exhibit 2**).

For the Mexicans, this was a known market but a new model. The focus of presentations in Mexico was on the model itself, rather than the country, Clavé recalled. "We thought we would reach out to wealthy individuals but did not do very well with them. Even close family friends I was sure would invest, declined. Some who claimed they would invest backed out later due to the financial crisis. We decided then that we didn't just need people with money, but people who understood the model. If it was so hard to get their attention at this early stage, they were not going to be helpful when it was time for them to really invest."

In fact, veteran U.S. search fund investor, Jim Southern, had warned the two that the greatest favor search funders could do for themselves was to put one or two seasoned operators on their board. "Forget what countries they come from. These are the folks who will help you navigate the first two years. There is a right and a wrong way to do things and they will know what best practices are, and I don't think that is country specific." Alvarez had also advised them that the real challenge lay in understanding the context and finding investors with the right mindset. "In the U.S., you are operating more like a mini-LBO, betting that you can gain efficiencies and hopefully not run a company into the ground. In Mexico when you are investing in a search fund, you are banking on growth, operating like a mini VC since most returns won't come from acquisition financing. This determines what kind of investors you can get. Suitable investors need to understand that."

The men regrouped and changed strategy, going for younger professionals who would take the time to listen and advise them. Fernández approached the head of the hospital he used to work for, and he agreed to invest. Clavé got the head of the Mexican stock exchange, whom he knew professionally, to invest along with former UBS colleagues. They tapped the HBS network in Mexico. The "younger money" understood the model. Professional connections trumped personal ones.

After making over 90 pitches to both U.S. and Mexican investors, Clavé and Fernández de Loyola sold the final unit of INNOVA on July 1, 2009. Their investors were well balanced, with six U.S. and nine Mexican investors. Looking back, Clavé mused, "we got very, very lucky because we got a good group that could help us a lot." One of their U.S. investors was Southern. Another was Craig Burr, who had invested in search funds in Mexico, Austria, Canada and India, in addition to 50 other search funds. "I tend to invest in a lot of search funds because it really is an option," noted Burr. "You never know who is going to be a major success and who won't be. But I liked Eduardo and Gustavo. They were a good team, intelligent, articulate, tenacious, high-minded and had a good sense of what was happening in Mexico."

[c] Michael L. Fitzgerald, "Venture Capitalists Look to Mexico and Latin America," *North American Free Trade & Investment Report,* January 10, 2010, http://www.milbank.com/images/content/1/0/1035/ 011510VCs_Look_to_Mexico_LatAm_NA_Free_Trade_Investment.pdf, accessed July 2011.



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## Finding the Target

From July 2009, the pair's focus turned to acquisition targets. INNOVA sought investment targets in industries that allowed foreign investment and showed high growth potential, reasonable capital expenditures (capex), and an identifiable exit strategy. They preferred services-related industries with fragmented market shares and low pricing volatility. Manufacturing industries tended to require too much working capital and time to exit.

They also decided to focus on targets that were worth between $5 million to $15 million, too small to elicit interest from financial buyers that might acquire the company after INNOVA had grown it to $25 to $30 million. Companies in Mexico around $15 million in enterprise value also occupied a sheltered niche: too large for an embryonic Mexican VC industry and too small for local and international private equity (PE) groups that tended to favor companies with values greater than $15 to $20 million. The duo felt that companies of $15 million in enterprise value typically had better governance structures, accounting controls, middle managers, and some access to credit facilities. "We had looked at a lot of companies," Clavé explained, "and narrowed down little by little. At first it was easy to say 'yes,' but then after six months we learned that it was also easy to say 'no.'"

## Cultural and Institutional Context

Several facts made finding and buying a company in Mexico very different from doing so in the U.S. One was paucity of publicly available and updated industry data—this made it hard to find and assess a good target company. It also increased the importance of developing sources for leads.

Moreover, as Fernández de Loyola had noted the summer before, potential sellers they met were less than enthusiastic about selling to them. For some, the very term "fund" carried negative connotations, implying the takeover of near bankrupt companies and doing a quick turnaround. They worried that INNOVA could get in and out in two to three years, or that INNOVA could overleverage and bankrupt the firm.

Many sellers were older than 55 with no viable succession plan. While they wanted to exit, they also thought about legacy and their community. They did not just want to sell for money. Owners worried that family members would potentially lose their jobs under new management. They also worried about security. An entrepreneur selling out would be advertising his or her wealth and might be targeted by criminal elements. As a result, sellers looked more for a strategic alliance than an outright sale.

INNOVA's HBS predecessors had similar experiences. Out of their 260 original leads, Alvarez and Orozco narrowed down 60 targets that became "potentials" willing to share confidential information. Seven letters of intent followed but they had not been able to close a single deal. In their experience, everything had taken longer than expected, in part because professionals involved (advisers, consultants, lawyers, investment and commercial bankers) would delay the process to maximize fees or end up providing sellers with the wrong advice.

Assuming that a potential seller was interested, many SMEs were not professionally run, and so financial records were poor and valuing the company was difficult. Tax evasion was endemic. Some company owners underpaid taxes or had a significant portion of business done off the books. Social security and payroll taxes could amount to 40% of payroll and some companies avoided these commitments by frequent hiring and firing, or by hiring contractors. Such labor issues could be



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significant liabilities down the line with government authorities and would need to be accounted for when valuing the company.

Disagreements were also frequent about the perceived value of real estate. "The company will own real estate and the owner will want to sell it to you apart from company," Alvarez explained. Conversations went as follows: a seller claimed a MEX$200 million valuation; separately he or she would claim that the firm's real estate was valued at MEX$100 million. "But then if you say that you will pay MEX$100 million for the company and the seller can keep the real estate and they say, 'no no the company is worth much more!' It is like they think they work in the Time Warner building. Everyone thinks that their buildings are integral to the business and worth a lot." Such conversations could drag on for months Alvarez recalled. "We ended up carving out real estate on all the deals," he noted. "However, many owners at this level would not understand if you carve out the real estate, EBITDA has to be impacted to account for the rent going forward."

Finally, if one managed to agree on a deal with a seller, financing the transaction would be more complicated. Lack of access to debt acquisition financing meant that the principals would need to raise debt in the form of seller financing as well as in the form of subordinated debt from the investors in the fund. However, at the search fund level, seller financing would be extremely difficult to find. Fernández de Loyola and Clavé knew that the lack of knowledge of seller financing meant that it could be difficult to bank on it in Mexico.

As a result, INNOVA expected that investor capital would represent 80% or even more of the capital required to finance the acquisition. Investors in the search fund would also need to make an investment in the form of subordinated debt, if the founders were to have enough upside from the deal. In their PPM, INNOVA projected that it was targeting a fairly typical 30% compound annual return on investor capital. While subordinated debt could be structured to provide expected returns of 12% to 14% per annum, the equity portion would provide the most significant investor upside.

Alvarez had advised the two that they could make this arrangement work with investors. "Investors will put a lot of emphasis on two things with the financing," noted Alvarez. "Are the incentives strong enough for the entrepreneur to continue to excel? And second, what is my blended return? They don't really care about subordinated debt versus something else in absolute, what they worry about is the blended return, and they are right to do so." Southern echoed this sentiment. "I knew going in that they would not get much bank debt. That means that you wind up with an unlevered company in Mexico, so you need to make sure that you are able to achieve the extra revenue growth with the company you buy to generate the returns you need, even if you have no improvements in efficiency."

## ENKONTROL

Six months into their search, Clavé and Fernández de Loyola had already looked at 40 targets and made two offers that had fallen through. It was then that they came across ENKONTROL, provider of the leading integrated ERP (enterprise resource planning) software for the construction industry in Mexico.[d] The company's size met the criteria INNOVA looked for. The pair also liked a lot of what they saw about the firm. The firm's owner, Tomás Salcedo, was also the founder. In the 25 years since its founding, he had given ENKONTROL a dominant market position, with 190 clients

[d] ERP was a software system that integrated internal and external management information across an entire organization (finance/accounting, manufacturing, sales and service, customer relationship management, etc.). Such systems could run on a variety of hardware and network configurations, typically employing a database.



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(including 11 of the 15 largest housing developers). The firm also had a loyal customer base, having lost only three clients since its inception. The company made about 20% from the sale of new projects (software licenses and implementation hours); 55% of its money through a post implementation consulting business; the balance 25% was from an annual maintenance fee and specific software developments for current clients. It billed special development requests hourly.

INNOVA conducted extensive due diligence, visiting 30 clients of all sizes. All declared themselves very satisfied with the product. Many clients had evaluated different options such as those provided by market leaders SAP and Oracle and had still chosen ENKONTROL because of its expertise and its product's robustness. This persuaded them that there were opportunities to grow current client share.

The due diligence, with consulting firm KPMG's help, also revealed proper accounting. "The company was very tightly run," Clavé explained, "and it was clear that we could not cut a dime in expenses." However, the company's main assets—its proprietary software and brand—were not on the company books, in effect being rented out by the owner to the company. This, in addition to doing an asset sale, would require a complex transaction should the pair decide to acquire ENKONTROL. Clavé and Fernández de Loyola felt that ENKONTROL had a talented management team, lack of specialized competition, and strong growth potential in an already growing domestic market in various segments of the real estate industry. Clavé also believed that "clients would see value in buying an important product from a more professionally run company with important investors and a board of directors with tight corporate governance." (See **Exhibit 3** for excerpts of INNOVA's July 2010 information memorandum to investors regarding ENKONTROL).

## *Getting Investors on Board*

As the pair began to get deeper into their due diligence, they felt that this could be the firm they would want to buy and run. This would require a two sided negotiation—one with Salcedo on the terms of the business, and the second with their U.S. and Mexican investors. On the one hand, the investors' willingness to do the deal depended on the terms the principals could negotiate with Salcedo—including the purchase price and a seller's note. On the other hand, their motivation to negotiate hard with the seller would not be great if there was little interest from the investors in funding the acquisition of the target.

Many of the U.S. investors were not as bullish about ENKONTROL. "I was not enthusiastic about the home building business," Southern explained, even though he understood that Mexico was in a more attractive place in growth curve than U.S. industry. Southern also worried that ENKONTROL had already reached the full level of penetration for the large clients, and that growth would be hard to come by for the medium-sized and smaller clients. "Home building has a few sophisticated clients and 10,000 unsophisticated operators. Using a product like this needs a lot of behavioral change in the office. I worry that ENKONTROL does not have much growth potential in this larger segment of unsophisticated builders," noted Southern. In addition, Southern was concerned about the deal structure the two were proposing. "When I saw the deal structure, I thought 'Wow! This is complicated!' I hope they worked this out with one of their major investors in the U.S. It will take me $20,000 in legal fees just to figure out whether the structure will work for me."

Burr was also concerned about ENKONTROL's business model. "About 15% of its business comes from software licenses," he noted. "This part of the business is scalable and has high gross margins. However, 85% of revenues come from the consulting side of the business where you are selling hours and there is very little leverage. Also, there was a great deal of customization for customers. The principals viewed this as a promise of recurring revenues, but I thought of it as a huge contingent



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liability because of the tremendous support costs required for each customer as the product evolved. It is a complex business model that could depress margins as time went on." (See **Exhibit 4** for financial data on ENKONTROL).

Clavé and Fernández de Loyola got similar push-backs from many of their U.S. investors, who indicated that they would be reluctant to re-invest if the principals went ahead with the ENKONTROL purchase. "This was during 2009 and when we mentioned real estate, especially in the U.S., there were lots of negatives," Clavé explained. "But we argued that construction and software that supports it is different in Mexico." Nevertheless U.S. investors were reeling from deepening economic crisis and worried about increasingly shrill reporting about Mexico's descent into lawlessness. In 2009 homicides in Mexico claimed 10.6 lives per 100,000—compared with 61 in El Salvador and 48 in Venezuela.[e] Executives fretted about the safety of their personnel.[f] Foreign direct investment slowed.

On the other hand, the response from the Mexican investors was almost diametrically different. Some of the Mexican investors went to Monterrey to meet with Salcedo. Zunzunegui, who had worked in UBS's Latin America desk in NYC, as well as in the real estate sector in Mexico, noted that "everyone spoke highly about Tomás and his reputation, and the firm had a good client base." Zunzunegui was also optimistic about Mexican plans to develop one million low income homes, the construction of which he believed would require the services of firms such as ENKONTROL.

## *Getting the Seller Onboard*

While gauging interest from investors, Fernández de Loyola and Clavé continued their dialogue with ENKONTROL's founder. They struggled to find comparables to value the company, though ENKONTROL's bankers suggested using software giant Oracle as a benchmark (that had an Enterprise Value/EBITDA multiple above 9). In part, this was because ENKONTROL had been in negotiations with a large software, IT and consulting company two years before. They were negotiating an attractive valuation, but before the deal could consummate, the IT firm itself was sold to an international PE firm. The proposed acquisition of ENKONTROL was aborted, but Salcedo had latched on to the higher valuation and required a lot of convincing to accept an Enterprise Value/EBITDA multiple of about 5.

The INNOVA team was also concerned that Salcedo wanted to sell 100% of his stake and exit the firm. This fact, combined with the huge drop in revenues and profits in 2009, worried the principals. Did Salcedo know something about the firm that they did not? To get insight into this, the duo decided to offer him the possibility of buying only 80% of the business. "We wanted to see if he was willing to have some skin in the game or whether there was something strange going on that might spur him to dispose of the entire asset," Clavé explained.

During the negotiations, the duo was careful to mention the pedigree and connections of their investors. This turned out to be a shrewd move. The more they emphasized how many doors the investors could open, the more Salcedo seemed interested. "What changed was the value he saw in Gustavo, in me and in the investors," Clavé noted. "He started to see that we could help run the company and bring it to another level by opening doors to new customers in Mexico and expanding the business to other countries in Latin America where some huge housing markets were 10 years

[e] http://mexicopolitics.wordpress.com/category/polls/page/3/, accessed August 2011.

[f] "Report Card: Mexico Corporate Security," *Kroll*, August 2010, http://krolltendencias.com/site/browse-archives/general-interest-and-trends/200-report-card-mexico-corporate-security.html, accessed July 2011.



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behind Mexico." Salcedo agreed to the 80% figure, even mentioning at points that he might agree to a 60% figure, too. "He hoped that he might, with the remaining 20% of the earn-out, make more in the next five years than the first 80% would yield."

INNOVA founders thought that seller financing would be hard to pull off but nevertheless offered it, given Salcedo's continued involvement in the firm. To sweeten the deal for him, they offered a 12% return in Mexican peso (MXP), an attractive rate of return for him, and an opportunity to re-invest some of the cash he would receive from the proposed transaction.

## The Offer

Given the strong reception to the business from the Mexican investors and the fact that Salcedo seemed willing to sell on terms that worked for them, Clavé and Fernández de Loyola decided to go ahead with the deal.

Every single Mexican investor decided to follow on with an investment in ENKONTROL. When many of the U.S. investors decided to pass, the two called on other Mexican investors outside the fund to participate. They ended up with a group of largely Mexican investors interested in funding the deal, several of whom would be directly useful for the growth and operation of ENKONTROL (see **Appendix C** for details on their investors).

Their original offer in December 17, 2009, was based on 5x multiple on 2009 EBITDA. The proposed transaction would entail INNOVA acquiring 80% of the business. Salcedo would retain a 20% ownership and would join the board of directors, but would transition out of operating duties over the next 6 to 10 months. Clavé and Fernández de Loyola had also convinced Salcedo to finance a fraction of the acquisition through a promissory note. This seller financing was attractive to both the investors in INNOVA and the principals, as it meant that the investors would have a lower share of the subordinated debt (see **Exhibit 5** for the proposed deal structure).

Salcedo, however, wanted to negotiate the offer. A month later, on January 19th, the team sent a second offer that was about 10% higher than the original (see **Exhibit 6** for excerpts from the revised offer letter to Salcedo). Ten days later, they were on a flight to Monterrey to talk to him about it.

## Finally ENKONTROL?

As the INNOVA founders prepared to meet with Salcedo, they were anxious but also excited. They had found a target that seemed to match their criteria, lined up a set of investors and got Salcedo to agree to seller financing. Yet, would Salcedo agree to the revised proposal (shown in **Exhibit 6)**? If not, should they renegotiate further? What terms could they be flexible on?

They knew that a lot was at stake. If they held their ground, Salcedo might just walk away, and they would be back to square one. They were reluctant to come to the same conclusion as HBS compatriots Alvarez and Orozco, who had searched long and hard before closing their fund without an acquisition. Yet they also knew that valuing companies was hard in this environment, making it imperative not to overpay. Moreover, if they raised the price, they would have to go back and re-negotiate with their investors, who may or may not agree to the new price. A few had indicated they were not prepared to invest any more.

As Salcedo welcomed them into his office, they wondered how the next hour would go.



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**Exhibit 1** U.S. Dollar to Mexican Peso conversion (USD/MXN), November 2004–November 2009

Source: ONADA Currency Converter, http://www.oanda.com/currency/historical-rates/, accessed October 2011.

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**Exhibit 2a** Selected Information on the Venture and Public Capital Markets in Mexico

| | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **STOCKS** | | | | | | | | | | | | | | | | | |
| IPC Bolsa returns (%) | 28.0 | 22.5 | 57.4 | -20.7 | 76.7 | -24.1 | 10.6 | -3.2 | 49.0 | 50.3 | 27.8 | 35.5 | 17.5 | -21.4 | 41.4 | 18.8 | 6.3 |
| Mexican Technology Index returns (%) | 21.0 | 4.3 | 79.2 | 5.8 | 127.7 | -15.3 | 5.9 | -9.2 | 44.0 | 46.5 | 42.6 | 51.3 | 30.5 | -22.3 | 27.7 | 16.3 | -7.8 |
| Average P/E ratio, Bolsa | 16.5 | 12.3 | 14.4 | 13.9 | 15.3 | 13.6 | 11.7 | 14.0 | 15.0 | 15.3 | 12.7 | 14.4 | 13.6 | 12.1 | 16.3 | 15.2 | 13.4 |
| **BONDS** | | | | | | | | | | | | | | | | | |
| 10-year Treasury bonds yield average(%) | 51.7 | 34.9 | 21.6 | 33.4 | 24.1 | 15.8 | 13.2 | 9.4 | 7.5 | 8.3 | 9.0 | 7.6 | 7.6 | 8.0 | 6.5 | 5.6 | 5.4 |
| 3-month T-bills yield average(%) | 48.6 | 31.9 | 21.3 | 26.0 | 22.1 | 16.4 | 11.9 | 7.6 | 6.5 | 7.2 | 9.3 | 7.3 | 7.4 | 7.9 | 5.4 | 4.6 | 4.4 |
| **MACROECONOMY** | | | | | | | | | | | | | | | | | |
| Real GDP Growth (%) | -6.2 | 5.5 | 7.2 | 5.0 | 3.6 | 6.0 | -0.9 | 0.1 | 1.4 | 4.0 | 3.2 | 5.1 | 3.2 | 1.2 | -6.2 | 5.4 | 3.9 |
| Unemployment rate year end (%) | 6.9 | 5.2 | 4.1 | 3.6 | 2.5 | 2.6 | 2.8 | 3.0 | 3.4 | 3.9 | 3.6 | 3.6 | 3.7 | 4.0 | 5.5 | 5.4 | 5.5 |
| Inflation rate average(%) | 35.6 | 34.7 | 20.6 | 16.0 | 16.6 | 9.4 | 6.3 | 5.0 | 4.4 | 4.7 | 4.0 | 3.6 | 4.1 | 5.2 | 5.3 | 4.2 | 3.4 |
| Prime rate (%) year average | 59.4 | 36.4 | 22.1 | 26.4 | 23.7 | 16.9 | 12.8 | 8.2 | 7.0 | 7.4 | 9.7 | 7.5 | 7.6 | 8.7 | 7.1 | 5.3 | 4.9 |
| **PRIVATE EQUITY** | | | | | | | | | | | | | | | | | |
| # of buyout deals | 0 | 3 | 0 | 0 | 3 | 2 | 2 | 2 | 4 | 0 | 6 | 7 | 8 | 7 | 6 | 4 | 10 |
| Value of buyout deals ($ Mil.) | 0.0 | NA | 0.0 | 0.0 | NA | 0.6 | NA | NA | NA | 0.0 | NA | 220.0 | 735.0 | 5.0 | 56.3 | NA | NA |

Source: Compiled from Global Financial Data, EIU, and Datastream, accessed January 2012.

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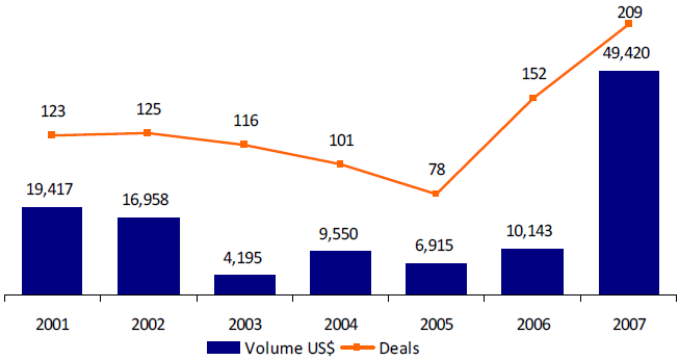
IPADE 2024-2029.

**Exhibit 2b** M&A Activity in Mexico




Source: Company documents.

**Exhibit 3** Excerpts of the Investment Memorandum for Investors

**Executive Summary**

Acquisition of 80% of ENKONTROL, the leading integrated ERP for the construction industry in Mexico.

- Tomás Salcedo, founder, CEO and sole owner of ENKONTROL has expressed his intention to retire and sell 80% of ENKONTROL (or the "Company").
- Throughout the last 25 years, Mr. Salcedo together with a capable management team has developed the only integral ERP that is 100% oriented to the housing, construction and infrastructure industries.
  - Based in Monterrey, with offices in Mexico City and presence throughout the country, ENKONTROL has a 65% market share amongst housing developers of more than 1,000 houses per year.
  - In addition, ENKONTROL has positioned itself as the leader in the industry developing also proprietary knowledge to help construction businesses in their management processes.
- The proposed transaction offers investors the opportunity to acquire 80% of the shares of a NewCo where all the assets of ENKONTROL would be transferred prior to the closing of the transaction.
  - Mr. Salcedo would retain a 20% ownership, would join the Board of Directors and leave operations after a 6 to 10 months transition period.
  - Existing management would remain in the business under current conditions.
- INNOVA-MEX Capital has conducted extensive due diligence and has signed a non-binding LOI under the following terms:
  - Valuation at about 5x EBITDA
  - Acquisition of 80% of the shares
  - 20% Seller Financing
  - 20% Subordinated Debt
  - 60% Equity

Source: Company documents.

Note: LOI = letter of intent.



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**Exhibit 3 (continued)**

# ENKONTROL Snapshot

**History**

- Established in 1984 to develop different software solutions.
- Developed the first unit prices solution for the Mexican construction industry in the 80's and the first ERP in the 90's.
- In the late 90's, started an industry consulting business based on its software implementation and best industry practices.
- Today, ENKONTROL is the only integral ERP designed for the housing, construction and infrastructure industry in Mexico.

**Product**

- Only fully integrated ERP for the housing, construction and infrastructure industries.
  - Integrated ERP with four different modules: Planning, Construction, Sales and Management.
    - Constantly developing new modules and improvements that represent additional source of revenues.
- Post-implementation consulting business "outsourcing" .
  - Allows clients to establish operations procedures, organizational structure and industry best practices.
  - Allows ENKONTROL to maintain a recurrent stream of revenues.

**Business Model**

- Sells software license and implements software (price determined by client size and geographic footprint).
- Charges annual maintenance fee ("PAM") to each client.
  - PAM allows clients to receive new versions of the software with the improvements and additions requested by other clients.
- Special product development requests are charged by hour.
- Consulting, improvements and new versions derive additional outsourcing hours.
- Consistent with industry practices, quotes are generated in US$ dollars.

**Clients**

- 190 companies operate currently with ENKONTROL.
- In 25 years, ENKONTROL has lost only 3 clients.
- 11 of the 15 largest housing developers use ENKONTROL as their ERP.
- 65% of the developers that build more than 1,000 houses per year use ENKONTROL.
- Over 250,000 houses in Mexico are managed by ENKONTROL.

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**Exhibit 3 (continued)**

# Software Capabilities

## Integrated system for the construction industry: Planning, Sales, Construction and Management

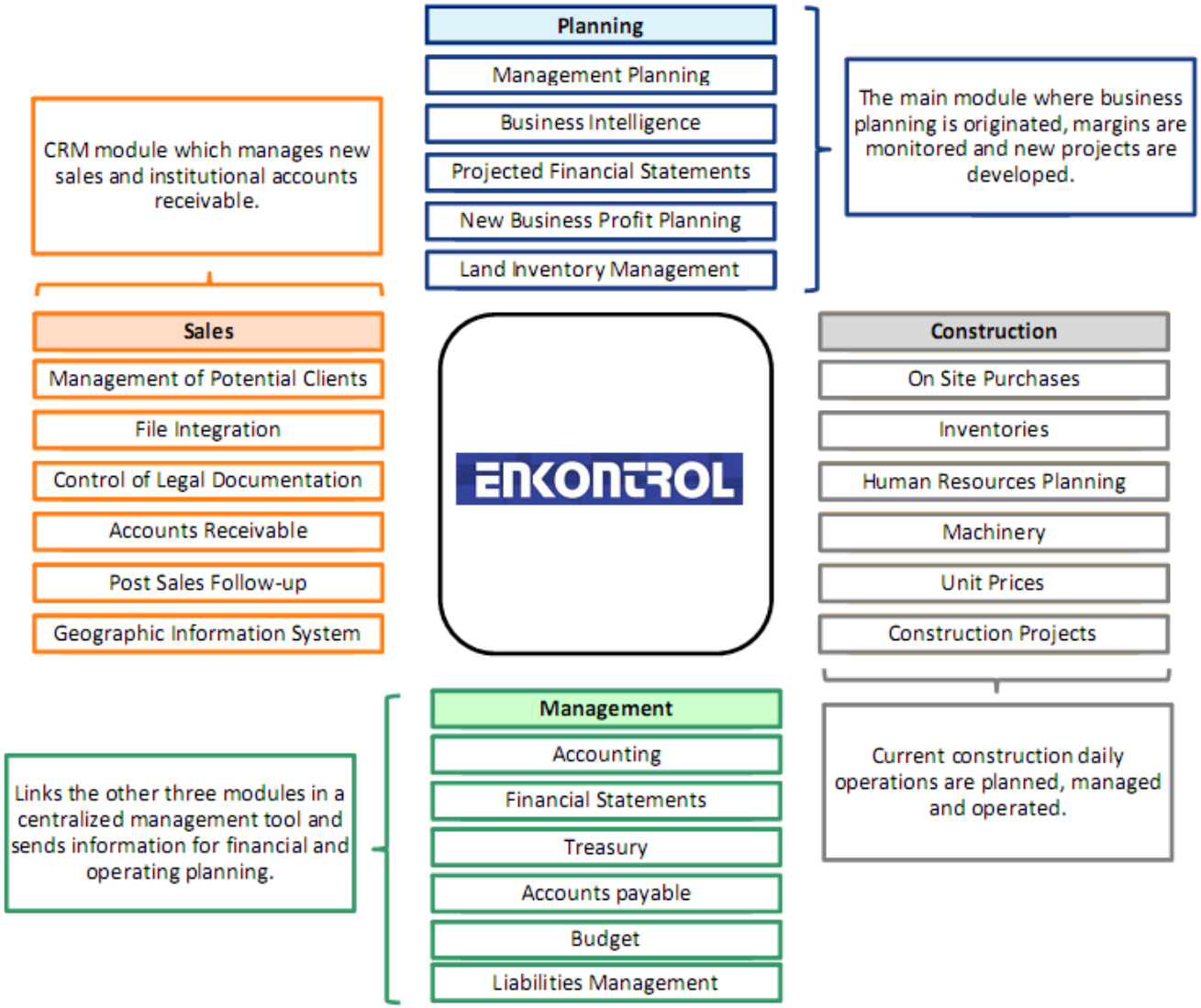


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**Exhibit 3 (continued)**

# Software and Outsourcing Implementation Phases

| | Phase I | Phase II | Phase III |
|---|---|---|---|
| **Client Status** | • Client has a different software to control operations or simply does not use any tools. | • After implementation, advisory is required to establish operating procedures, organizational structure and industry best practices. | • Quality information needed to take decisions. |
| **ENKONTROL Revenue Stream** | • Licenses + Implementation | • Outsourcing (consulting) + New developments + Annual Maintenance Fee | • Outsourcing (consulting) + New Developments + Annual Maintenance Fee |
| **Activities** | • Define requirements<br>• Client's leading Autonomous Work Unit (UAT)<br>• Users training<br>• Full implementation | • Users special requirements definition<br>• Improve weak processes identified in Phase I<br>• Establish Industry Best Practices<br>• Full Implementation | • Eliminate Outside Reports<br>• Planning<br>• Improve weak processes identified in Phase II<br>• Business Intelligence<br>• Integration of new modules |
| **Phase Duration** | • 4 – 8 months | • 6 – 24 months | • 6 – ∞ |
| **Who does the Work?** | ENKONTROL | | CLIENT |

Source: Company documents.

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DE 2024-2026.

**Exhibit 4** ENKONTROL Base Case Income Statement

| | 2008 | 2009 | 2010E | 2011E | 2012E | 2013E | 2014E |
|---|---|---|---|---|---|---|---|
| **Breakdown of Revenues** | | | | | | | |
| Implementation | 22% | 15% | 14% | 15% | 15% | 14% | 14% |
| Software Licenses | 8% | 6% | 6% | 6% | 6% | 6% | 6% |
| Outsourcing | 52% | 58% | 60% | 58% | 57% | 57% | 58% |
| Technical Service | 12% | 12% | 12% | 12% | 12% | 12% | 12% |
| Annual Maintenance Fee ("PAM") | 6% | 8% | 9% | 9% | 10% | 10% | 10% |
| **Key Metrics** | | | | | | | |
| Net Revenue Growth over previous year | 11.8% | -24.3% | 11.6% | 10.1% | 8.5% | 10.0% | 9.6% |
| Adjusted EBITDA Margin | 23.6% | 13.1% | 12.7% | 14.7% | 16.2% | 18.9% | 21.2% |
| EBIAT/Net Revenues | 15.2% | 8.6% | 8.3% | 10.2% | 11.2% | 13.1% | 14.7% |
| (NWC+NFA)/Revenues* | 12.6% | 21.8% | 24.4% | 18.6% | 16.4% | 16.6% | 16.9% |

*NWC is Net Operating Working Capital; NFA is Net Fixed Assets

Source: Company documents.

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## Exhibit 5A ENKONTROL Offer Structure

- INNOVA-MEX buys 80% of ENKONTROL, so that Tomás Salcedo (the seller) keeps 20% of ENKONTROL's equity. Note that the offer to the seller is based on the full Enterprise Value, so the principals will need to finance only 80% of the proposed valuation for ENKONTROL. The breakdown of how this 80% will be financed is described in the Table below:
- The increase in the equity share from paying down the subordinated debt and seller note accrues to INNOVA-MEX, so that in the absence of any debt, the total value of the equity will be split 80-20 between INNOVA-MEX and the Seller.

| Sources | (% of portion financed by INNOVA-MEX) | (% of total firm value) |
|---|---|---|
| Seller Financing[1] | 20% | 16% |
| Subordinated Debt from INNOVA-MEX investors[2] | 20% | 16% |
| INNOVA-MEX Equity Infusion | 60% | 48% |
| **Total** | **100%** | **80%** |

Notes:

1. Payable in 10 equal half-yearly installments which will accumulate at an interest rate of TIIE + 7% per annum
2. Payable in 10 equal half-yearly installments which will accumulate at an interest rate of 14% per annum in US$

## Exhibit 5B Projected Investor and Manager IRRs

**Managers Participation**

- Eduardo Clavé and Gustavo Fernández (the "Managers") will receive up to 30% of the equity of the acquired shares.
  - 10% upon closing of the acquisition
  - 10% will vest over the four-year period following the closing of the acquisition (2.5% per year) (or earlier upon a liquidity event)
  - 10% shall upon the attainment of the following IRR hurdles:

| Investor's IRR[1] | Vesting Schedule |
|---|---|
| 0-15% | 0% |
| > than 15% - 20% | 25% |
| > than 20% - 25% | 25% |
| > than 25% - 30% | 25% |
| > than 30% | 25% |

Note:

1 The calculation of IRR shall not include any return on the subordinated debt..

- Investors should receive their original investment in the acquired company before any distribution is made to the Managers.

Source: Company documents.



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**Exhibit 6** Selected excerpts from the letter to Tomás Salcedo

January 19th, 2010

Dear Mr. Salcedo:

Following-up our last conversation, we wanted to reiterate the preliminary and non-binding indication of interest of INNOVA-MEX Capital, LLC ("INNOVA-MEX") to acquire 80% (eighty percent) of the outstanding shares (the "Shares") of ENKONTROL, S.A. de C.V. ("ENKONTROL") owned by you ("Tomás Salcedo" or the "Seller").

We have analyzed the new projections you presented to us in Monterrey and we recognize the potential margin expansion in the coming years which has a positive effect on the cash flows of ENKONTROL. We also reviewed the updated 2009 financial statements you provided. Comparing these numbers to the ones used for the initial valuation we see a negative difference in terms of revenues, EBITDA, cash balance and accounts receivable. Based on these premises we have updated our valuation analysis and INNOVA-MEX would be prepared to improve its initial offer. Subject to the conditions set forth herein, INNOVA-MEX would be prepared to make an offer for ENKONTROL at a price equal to the product of the EBITDA of 2009, multiplied by a factor of 5.68.

We also acknowledge that there is a need for 6 month transition period between you and the INNOVA-MEX management team, which will be paid monthly according to market compensation for a director of a company similar to ENKONTROL.

Our offer is subject to your confirmation of interest to sell the Shares, under the terms above mentioned and the initiation of good faith negotiations with you.

Moreover, our offer to acquire the Shares would be subject to customary conditions for this type of transactions, including, without limitation the negotiation and execution of a confidentiality agreement, an exclusive dealing, a non-compete agreement, a letter of intent confirming the agreements reached by the parties and ultimately, a stock purchase agreement under terms satisfactory to the parties. Likewise, closing of the proposed acquisition would be subject to the satisfactory completion of a legal, financial, tax, information technology, intellectual property and commercial due diligence investigation of the business and assets of ENKONTROL.

Should you be interested in this proposal for the possible acquisition of ENKONTROL, please reply to this letter at your earliest convenience.

With best regards,

Eduardo Clavé de Robina — General Manager

Gustavo Fernández de Loyola — General Manager

Source: Company documents.



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# Appendix A Overview of Stanford Fund Survey

The median figures from data from 51 search funds yielded the story of a "typical" search fund. It was founded by two 31-year-old males who had worked for two years after receiving their MBAs (mostly from Stanford GSB or HBS.) The two parties spent four and a half months raising a total of $350,000 from 12 investors (technically 12.5 investors, but half-investors are elusive). This money was used to cover their salaries and expenses while they searched for a business to acquire. After eight and a half months of searching, they located a service firm—or, equally plausible, a manufacturing firm—with $7.1 million in revenue and $1.0 million in earnings before interest, taxes, depreciation, and amortization (EBITDA).

They bought the company for $5.4 million. To finance the purchase, they took on $3.4 million in debt and raised an additional $2.0 million in equity from their original group of 12 investors. The two partners intended to run the business for several years. After adapting to their new roles as managers, they would make operational improvements to increase the value of the business. Eventually, the business would be sold or recapitalized to provide a return to the investors. At the point of exit, the entrepreneurs would earn about 25% of the proceeds, after returning the $2.35 million contributed by the equity investors (plus any accumulated dividends, if applicable).

Search fund investors tended to be individuals rather than institutions. They were sometimes friends or relatives of the entrepreneurs, but more often they were former business owners or investing professionals who had become experienced with the search fund model.

## *Outcomes*

According to the Stanford study, search funds begun during the period from 1984 to 2003 produced an average initial rate of return of about 33%. However, many investors were left with little or nothing—in fact, the median return was an uninspiring -23.7%. Veteran search funder Jim Southern disagreed: "one thing that you cannot deny of these investors is that they have made money over a long period of time backing people without experience." These investors had developed an instinct: "You have to feel good about the upside, you don't need to quantify. Basically there are three components: you pick a good industry (1/3); you manage things well (1/3); and, you get lucky (1/3). Remove any one of those thirds and you still have a good outcome."

Source: Excerpted from Professor William A. Sahlman, "Mt. Auburn Partners Search Fund," HBS Case No. 805-030, October 27, 2005, accessed September 2011.



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# Appendix B INNOVA-MEX Co-founders Resumes

## EDUARDO CLAVÉ RESUMÉ

**education**

2007-2009 **HARVARD BUSINESS SCHOOL** **BOSTON, MA**
Candidate for Master in Business Administration, June 2009. Member of Finance, Venture Capital and Private Equity, Entrepreneurship, Real Estate, Club Latino Americano, and Soccer clubs.

1999-2003 **UNIVERSIDAD IBEROAMERICANA** **MEXICO CITY, MEXICO**
B.S. in Industrial Engineering.

**experience**

summer 2008 **LEHMAN BROTHERS** **LONDON, UK**
**Summer Associate, Capital Markets**
European Renewables Equity Research and Emerging Markets Fixed Income Sales

- Assisted with the coverage initialization of three wind turbine manufacturers and wind farm developers, performed valuation and benchmark analyses, prepared marketing materials and conducted comprehensive research on the renewable energy industry.
- Analyzed various FX and credit trades and drafted comprehensive presentations for client distribution. Constantly interacted with clients and responded to different requests.

2003-2007 **UBS INVESTMENT BANK** **NEW YORK, NY**
**Analyst, Latin America Investment Banking Department**
Experienced broad sector exposure to global industrials, real estate, financial institutions, consumer and retail, and sovereign clients throughout Latin America in products ranging from M&A, debt and equity capital markets, and corporate restructuring.
Performed wide range of coverage efforts, including strategic industry analysis, to identify acquisition/divestiture and capital raising opportunities in Latin America.
Built merger models and conducted comprehensive valuation analysis, including DCF, comparable company and precedent transaction analysis; drafted pitching materials, developed deal strategy/approach, analyzed potential synergies, performed industry research and benchmark analysis. Highlights included:

- Core team member in execution of major equity capital markets transactions including US$265mm initial public offering for Banco Macro Bansud (Argentina), US$1.4bn exchangeable bond for Pemex (Mexico), US$200mm secondary offering for Cementos Moctezuma (Mexico), US$50mm secondary offering for Embotelladoras Arca (Mexico) and the US$270mm secondary offering for Desarrolladora Homex (Mexico)
- Advised Grupo Mexico on the sale of Minera Mexico for US$4.6bn to Southern Peru Copper Corporation (Mexico/Peru), advised XL Insurance on its Joint Venture with Itaú Seguros (Brazil), advised ICA on the acquisition of Grupo Aeroportuario Centro Norte (Mexico)
- Participated in execution of debt capital markets transactions for corporate and sovereign clients throughout the region, including Southern Peru Copper Corporation's US$800mm bond offering and the Infonavit's (Mexican Government) US$70mm mortgage backed security bond

2002-2003 **UBS WARBURG** **MEXICO CITY, MEXICO**
**Intern, Latin America Financial Institutions Equity Research**
Worked closely with senior research analyst in drafting research reports and building and updating valuation models for several Latin American banks; conducted comprehensive research on the financial institutions industry in the United States and in Latin America; responsible for production of economic strategy reports distributed to institutional investors.

2001-2002 **BANKBOSTON** **MEXICO CITY, MEXICO**
**Intern, Boston Asset Management**
Conducted comprehensive analysis of Mexican fixed income securities; performed yield analysis, bonds historical performance, and macroeconomic indicators for investment decisions; updated reports detailing holdings, changes to net asset values and various performance measures of the firms fixed income and equity funds, including yields and peer performance analyses.

**languages** Fluent in Spanish, French, and English.



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## Appendix B (continued)

### GUSTAVO FERNÁNDEZ DE LOYOLA RESUMÉ

2007-2009 **HARVARD BUSINESS SCHOOL** **BOSTON, MA**
**HBS Rock/Lebor Fellowship recipient**
Candidate for Master in Business Administration, June 2009. Elected Treasurer of Section F. Organizer for Healthcare Panel for the Latin American Conference. Co-President of the Latin American Club. Member of the Entrepreneurship, Volleyball and Tennis and Squash Clubs.

1998-2002 **ITESM CAMPUS GUADALAJARA** **GUADALAJARA, MÉXICO**
Bachelor of Industrial and Systems Engineer degree. Awarded Student Development Diploma. Captain of the national champion volleyball team. 1st Place in the ITESM Financial Investment Model. Board member of the Alumni Young Business Council. Studied 7th Semester at Essex University in Colchester, England.

**experience**

summer 2008 **INDEPENDENT STUDY AND BUSINESS SEARCH** **MEXICO CITY- MONTERREY, MÉXICO**
- Wrote a study on how to increase revenues and margins in hospitals that need investment.
- Interviewed more than 30 people including healthcare authorities, bankers, insurance company officers, healthcare suppliers and doctors during the process.
- Searched and found three hospitals that are willing to receive outside investment.

2003-2007 **PUERTA DE HIERRO MEDICAL CENTER** **GUADALAJARA, MÉXICO**
**General Manager**
The Medical Center is a new 146 bed, 24 surgical room and 210 medical office complex. It is the biggest private medical center in western Mexico.
- Directed and executed the International Finance Corporation (World Bank) investment in the medical center.
- Managed and executed credits with GE Capital, Excim Bank, Heuler Hermes and Santander Bank.
- Managed the Outpatient Center and Hospital construction
- Directly sold 90 medical offices
- Negotiated and structured agreements with 23 insurance companies.
- Developed and supervised admission and finance processes.
- Developed and controlled the annual budget.
- Presented quarterly reports to the board.
- Responsible of all communications to government authorities.
- Represented the medical center at the Re-espalda foundation board.

2006-2007 **MEXICAN HOSPITALS CONSORTIUM** **MONTERREY, MÉXICO**
**Chairman of the Board**
The Consortium is a national group of 20 hospitals that do business together. The main objective is to buy supplies together, structure agreements with insurance companies and set a high quality standard in medical attention.
- Directed the Consortium Strategic Planning
- Managed board meetings.
- Worked with the General Manager in discussing and signing the general agreements.
- Set the framework for a pilot agreement with GNP Insurance Company.
- Represent the Consortium at the National Health Council.

2005-2008 **TECNOLOGÍA, INNOVACION Y ENFOQUE, S.P.R.** **TAMAULIPAS, MÉXICO**
**Partner**
Agro industries business dedicated to supplying fresh produce to processed food companies in Mexico
- Developed and controlled the annual budget.
- Developed and negotiated sales contracts with our clients.

**personal** Dual citizenship Mexico - Spain. Certified volleyball coach. . Enjoy reading, cooking and playing racquet sports. Independent travel to more than 20 countries.

Source: Company documents.



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# Appendix C Investors in INNOVA-MEX Capital LLC

| Description | Country |
|---|---|
| Head Latin America Equity Capital Markets Merrill Lynch | Mexico |
| Co-Head UBS Latin America Investment Banking | Mexico |
| Co-Head UBS Latin America Investment Banking | Mexico |
| Managing Director Morgan Stanley | Mexico |
| Major shareholder of retail chain, public telephony and financial services firm | Mexico |
| Head BCG Mexico | Mexico |
| CEO Kimberly Clark Mexico | Mexico |
| Real Estate Investor | Mexico |
| Former Chairman and CEO of Mexican Stock Exchange | Mexico |
| Managing Director Mexican Investment Bank | Mexico |
| Editor in Chief of largest newspaper in Mexico | Mexico |
| CEO and Owner Mexican Yacht Brokerage Firm | Mexico |
| Real Estate Investor | Mexico |
| Mortgage Bank Executive | Mexico |
| Family Office (Investments in Colleges, Health, Retail and Consumer) | Mexico |
| Partner Farrallon Capital (Hedge Fund) | U.S. |
| Partner Sverica Capital (Private Equity) | U.S. |
| Search Fund Investor | U.S. |
| Search Fund Investor | U.S. |
| Search Fund Investor | U.S. |
| Search Fund Investor | U.S. |

Source: Company documents.

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